

Table 4: Extension 3 — Financial Development and Safe Asset Production Capacity (1980–2022)

	(1) Baseline	(2) Credit	(3) Mkt cap	(4) FinDev idx	(5) Full
(Intercept)	0.628** (0.284)	0.944*** (0.311)	0.543 (0.344)	0.847*** (0.295)	0.876** (0.343)
FDI assets / GDP	-0.449 (0.319)	-0.140 (0.341)	-0.294 (0.366)	-0.198 (0.332)	0.076 (0.352)
FDI liabilities / GDP	0.384 (0.299)	0.112 (0.316)	0.249 (0.341)	0.161 (0.308)	-0.101 (0.330)
Output volatility (HP)	-28.776*** (6.563)	-33.786*** (6.780)	-29.690*** (8.613)	-33.036*** (6.689)	-32.420*** (8.539)
Private credit / GDP (std.)		-0.377** (0.170)			
Stock market cap / GDP (std.)			-0.187 (0.191)		
FinDev composite (std.)				-0.390** (0.178)	-0.102 (0.248)
Intangible intensity (std.)					-0.389 (0.295)
Rule of Law					-0.096 (0.251)
OPEC dummy					-0.531 (0.687)
HIPC dummy					0.500 (0.430)
Num.Obs.	78	78	59	78	78
R2	0.228	0.277	0.203	0.276	0.335
R2 Adj.	0.197	0.238	0.144	0.236	0.258

Notes: Dependent variable: cumulative dark matter exports over 1980–2022, divided by end-year GDP. The FinDev composite index is the mean of z-standardised log(private credit/GDP) and log(stock market cap/GDP), averaged over the sample window. The theoretical prediction (Caballero, Farhi & Gourinchas 2017; He, Krishnamurthy & Milbradt 2019) is a positive coefficient: financially deeper economies produce safe assets at lower cost, attracting capital at below-equilibrium rates — the return differential H&S capitalise as dark matter. Column (5) includes all three extensions jointly. All variables winsorised at the 1% level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.